FRAMEWORK 8.0 / 2026-10-04

Celestica

CLS | BENEFICIARY / qualified design-and-integration bottleneck

1.6 T networking | custom AI compute | full-rack integration | consignment economics

Celestica captures the engineering and integration work needed to turn custom silicon into usable AI infrastructure. The investment case rests on more value per accepted rack and rapid deployment, with an explicit overlap-adjusted Jalapeno contribution. It does not require counting customer-owned chips as revenue.

ACTIVE CEILING	BASE SCORE	OP MULTIPLE	ACTIVE WINDOW
USD 660 / share	75 / 100	20 x	Q4 2027 - Q3 2028

20 x forward-four-quarter recurring operating profit after stock compensation and all intangible amortization / maximum modeled diluted shares in that same window. Future TRS fair-value gains and restructuring are zero assumptions. No net-cash addition or net-debt deduction.

Status: Covered; ownership not established. Model inputs, probabilities and scoring are analyst estimates. Financial units: USD millions; share counts: millions.

Production artifact snapshot as of 2026-10-04: G:/My Drive/1 amInvesting/Artifacts/CLS_Celestica_DeepDive.pdf

The thesis: the system around the chip matters

Celestica designs, engineers and manufactures the networking and compute systems that connect advanced AI chips into functioning infrastructure. Its value rises when the task moves from assembling a standard board to designing switches, integrating complex racks and qualifying them at high volume. A customer can own the expensive accelerator while paying Celestica for the demanding work around it.

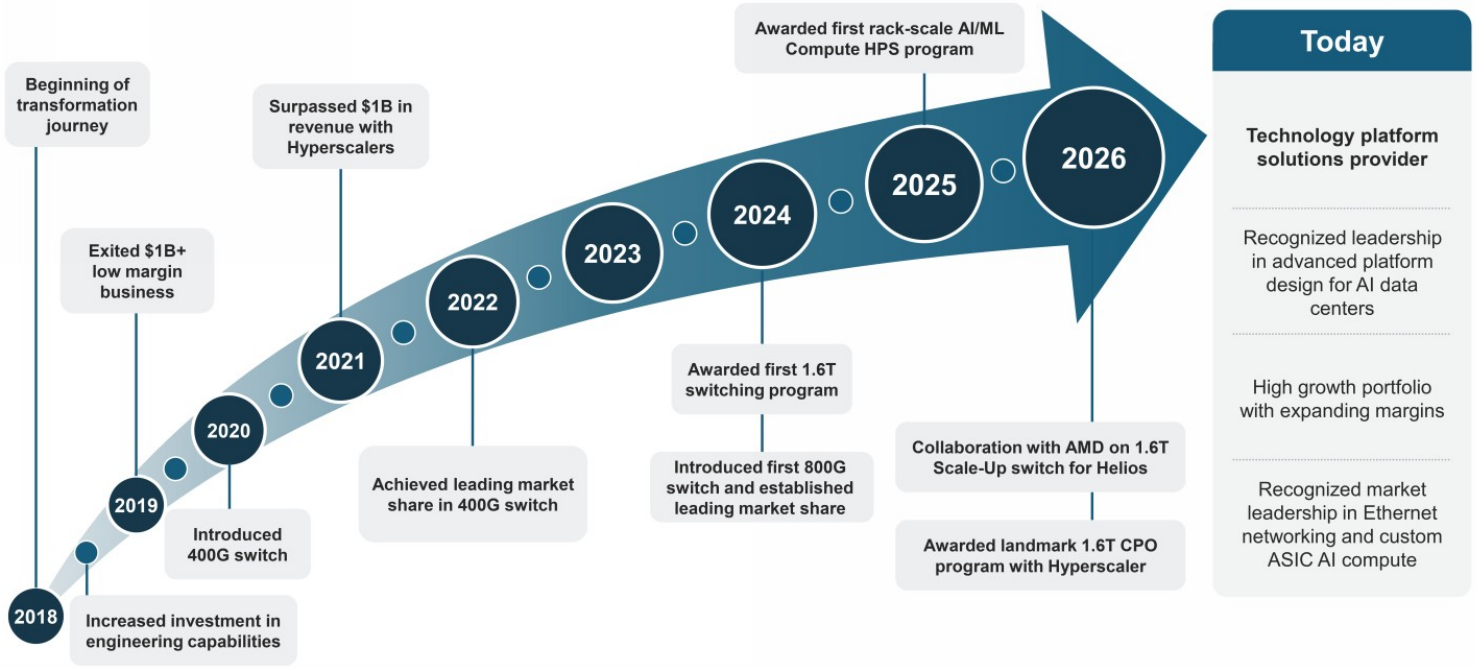
The active Q4 2027 ceiling is **USD 660.21 per share**, based on 20 x recurring forward operating profit. Analytical Base is **75 (45/60), High Conviction**. This is a qualified engineering and integration bottleneck inside a competitive industry; it does not have the exclusivity of a patented physics chokepoint.

The strongest near-term evidence is already substantial: Q2 revenue $4.70 bn, 2026 revenue guidance $20.5 bn, ten active 1.6 T programs and management expecting 2027 revenue growth to exceed 65%. The unreported Q3 2026 quarter is still a forecast. The larger Jalapeno opportunity is admitted probabilistically above growth already embedded in that guidance; it is neither rejected for lacking final confirmation nor added wholesale.

This report uses calendar quarters, USD financials and NYSE CLS common shares. CLS on the TSX is the same economic company quoted in CAD, not a second position. Ownership has not been established. Header snapshot: October 2 NYSE close $387.32; last mechanically reconstructed post-offering issued shares 126.111117 m imply about $48.85 bn equity capitalization before later employee activity. The workbook alone computes price-dependent upside and ranking.

BUSINESS MOMENTUM

Celestica's Transformational Journey



Source: Celestica August 5, 2026 issuer presentation, slide 6. The transformation timeline supports design participation; milestones are not separate additive revenue streams.

October 4 update: weight the execution risk once

The new Irrational Analysis article interprets the A0-to-B0 efficiency improvement as a warning about parametric yield. Jukan separately relays a rumor of first-generation yield problems and an accelerated successor. Neither supplies measured production yields, changed customer orders or a dated delay. The rumor and quoted article are not independent confirmations.

The original SemiAnalysis lab report, August 25 describes approximately 25% better performance per watt for B0, observed A0 lab runs and a production ramp weighted toward late 2027. That supports a functioning program while leaving volume execution uncertain. An efficiency improvement alone cannot prove a yield failure. We give the new warning modest weight against that counter-evidence.

The active slow-ramp probability rises from 20% to 25%; the upper branch falls from 45% to 40%; reference stays 35%. The previous 20% already captured delay, lower content and allocation risk, so only five percentage points are incremental. This is a subjective evidence update, not a measured failure frequency. The same latent ramp outcome controls the existing 2027-2030 paths; no new annual penalty is stacked on top.

Q4 2027 price target changes from USD 667.45 to USD 660.21 (-1.09%). CY2027 program revenue falls $430 m and recurring operating profit $45.25 m. Lost upside removes its 10% incremental OP contribution; added slow probability removes GP while preserving fixed engineering costs. The annual branch endpoints, 20 x recurring forward OP method, diluted shares, all unrelated operating inputs and both Base scores of 75 remain unchanged.

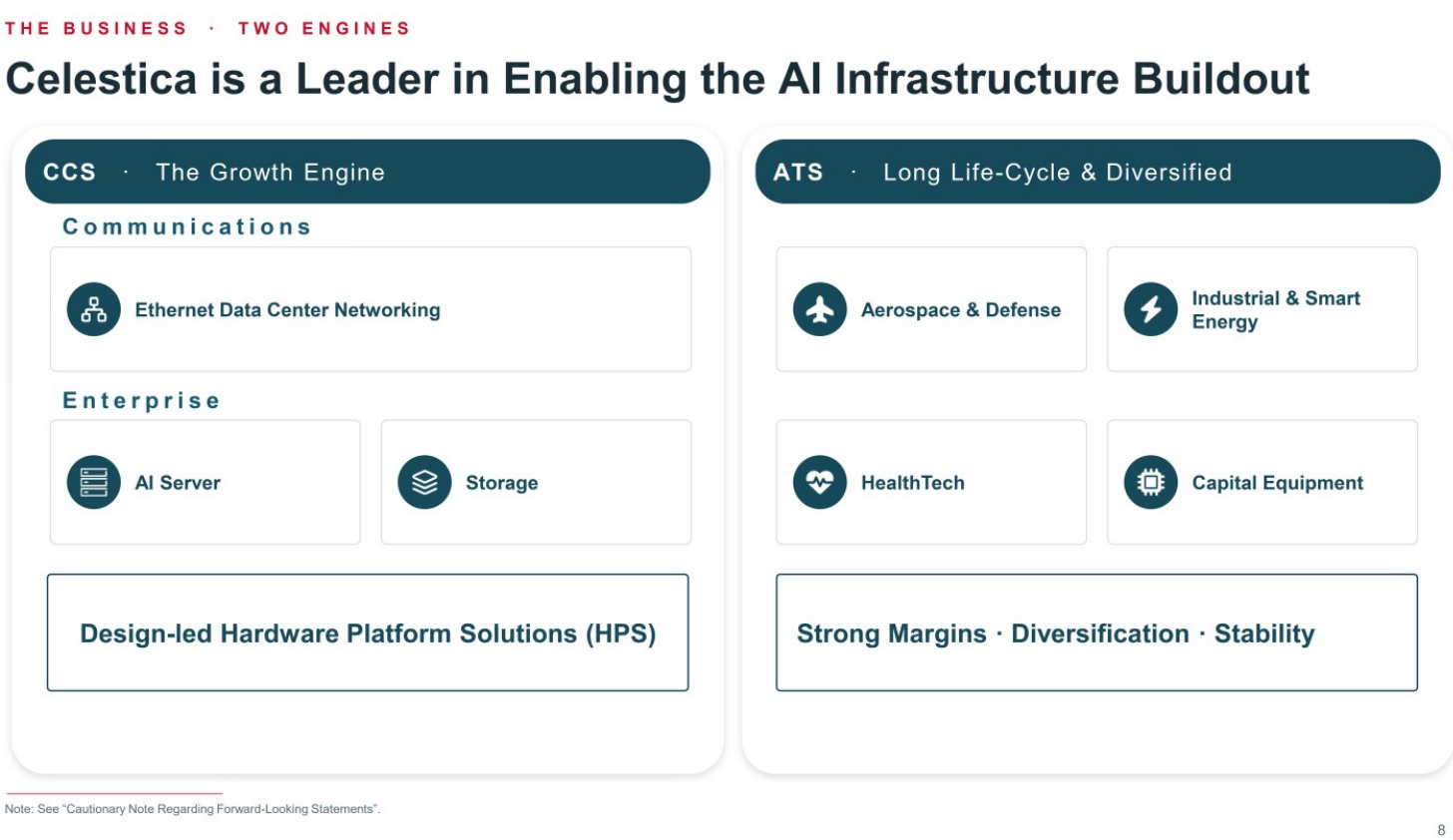
Restore the previous weights if production qualifications and accepted deliveries validate the planned ramp. Increase slow-ramp weight on identifiable schedule slippage or poor saleable yields; reduce it if independent commercial samples and delivery evidence resolve the concern. No fraud or program cancellation is asserted.

What Celestica actually sells

Connectivity & Cloud Solutions (CCS) comprises communications and enterprise servers/storage. Advanced Technology Solutions (ATS) serves capital equipment, aerospace/defense, industrial and health technology. Hardware Platform Solutions (HPS) is a design-led subset of CCS, not a third revenue segment. In Q2, HPS was approximately $1.9 bn, or 41% of total revenue, and is already included in CCS.

The operating model separates core networking, other enterprise/compute, the full-rack Jalapeno pool and ATS. This analytical carve-out is more useful for tracking the emerging program but is not the issuer's reported segment taxonomy. Jalapeno-associated switching is inside the Jalapeno pool. AMD/Google/1.6 T programs are embedded in the core pools; no extra revenue line is added for each product announcement.

In Q2, communications revenue was $2,653.2 m, enterprise $1,157.1 m and ATS $888.3 m. Engineering intensity and product ownership determine profit capture. Design-led HPS generally earns more than traditional contract assembly but also requires dedicated R&D. An extra dollar of purchased component cost passed through revenue is economically different from an extra dollar of design value.



Source: Celestica August 5 presentation, slide 8. CCS is the growth engine; HPS overlaps its products. ATS diversifies demand but does not erase hyperscaler concentration.

Why customers qualify Celestica

The durable advantage is a record of moving complex designs from development through production, while coordinating silicon, power, boards, cooling and test. Requalification and delayed deployment can cost a hyperscaler much more than an assembly discount. That supports pricing discipline and repeat awards across product generations.

Management reported that some dual-sourced programs returned to Celestica because of ramp execution and planned a design organization near 2,000 engineers by year-end 2026. This supports a real differentiation claim. It does not establish sole sourcing: customers can allocate future generations to alternative suppliers once another implementation is ready.

The constrained inputs include custom silicon, memory, 40-plus-layer PCBs, power and optical components. Longer lead times can support premiums for qualified delivery, but they can also delay Celestica revenue and raise its bill of materials. The model embeds bounded mix/engineering margin expansion in the reference path; it does not add another generic scarcity bonus on top. Supplier ASP inflation is not automatically Celestica profit.

CORE COMPETENCIES

Core Competencies Deliver Critical Value to our Customers



Trusted Hyperscaler JDM Partner

Multi-generational relationships with leading hyperscalers



Customization for Optimization

Leadership in custom networking and AI custom ASIC compute



Design-for-Manufacturability at Scale

Translate design, to NPI, to mass production deployment



Operational Execution

Fosters trust from our customers on their most complex programs and technologies

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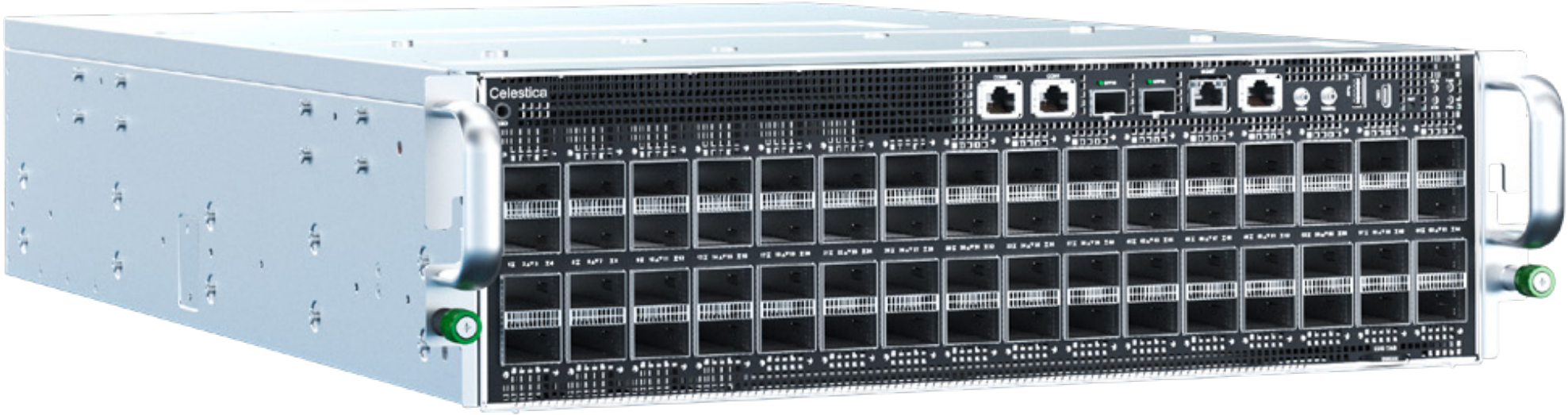
Source: Celestica August 5 presentation, slide 7. Customer-specific design, manufacturing execution and qualification underpin the core thesis score.

1.6 T and scale-up: the new product cycle

The DS6000 family carries 64 ports at 1.6 TbE and 102.4 Tbps switching capacity. These systems can serve scale-out and scale-up applications, so those labels are not disjoint addressable markets. July management commentary identified two customers entering 1.6 T production in Q3 and ten active programs. A September 18 issuer blog also describes switches through 1.6 T as in production.

For AMD Helios, Celestica's DS6010 uses a dual-switch-chip design with 204.8 Tbps capacity and a rack-specific cabled backplane. This increases system integration content. AMD's July 23 platform-production statement does not tell us how many Celestica switch trays were delivered, their price or customer acceptance dates.

The CPO program is a different design win inside networking: management expected samples in H1 2027 and production in H2. It is already included in the reference capture improvement. Semiconductor, optics and networking TAMs overlap; a rack is not counted again merely because it uses several of these technologies.



Source: Celestica DS6000 issuer-linked datasheet, page 1. Original embedded product image; hardware specification is not shipment volume.



Source: Celestica July 23,2026 Helios collaboration blog. Rack illustration shows the location and role of the scale-up system; it does not establish an exclusive supplier allocation.

Jalapeno: consignment changes the revenue denominator

OpenAI and Broadcom confirmed Celestica's board, rack, integration and networking role on June 24. Celestica's July call described OpenAI and AMD as separate multibillion-dollar 2027 opportunities. The CFO expected OpenAI to be consigned: compute generally excludes the accelerator silicon, while networking generally includes its silicon. These are different revenue bases.

The user-supplied excerpt argues for approximately $11-13 bn of Celestica annual Jalapeno content. It assumes a $5 m rack, approximately $2 m of ASICs and $0.9 m of packaged HBM outside Celestica's booked content. Those inputs subtract to $2.1 m, not exactly the excerpt's $2.2 m. Furthermore 1.3 GW x 80% /180 kW produces about 5,778 racks; at $2.2 m each that is $12.71 bn, not $11.6 bn. These gaps are preserved explicitly rather than disguised by precise targets.

The 80% is an assumed fraction of total datacenter power consumed by the Jalapeno pod, **not Celestica's supplier allocation**. Broadcom's September 9 management remarks corroborate 1.3 GW of 2027 deployment and visibility above 5 GW for Jalapeno plus a successor in 2028. They do not establish whether that GW figure is facility power or IT load, or Celestica's contracted share. Applying another 80% to an IT-load figure would be a denominator error.

The original analyst author/date,180 kW rack figure, precise BOM ownership, production share and recognition terms remain unresolved. These limitations reduce the probability and bound the conditional amount; they do not force a zero contribution. The full source image is retained on the next page so the forecast can be read in its original context.

The original Jalapeno breadcrumb

We believe the impact of OpenAI Jalapeno on Celestica is being substantially mismodeled. Many investors appear to be forecasting the impact from OpenAI Jalapeno on Celestica's financials by benchmarking to Google TPU (Alphabet covered by Mark Shmulik). However, the financial impact differs in two key ways. First, and more importantly, OpenAI's design attempts to bypass the scale-up layer in favor of maximizing the scale-up domain. This increases the importance and complexity of the scale-up switches - and by extension, Celestica's value add and profit dollars. We also believe that investors are not fully appreciating the revenue implications of the consignment model used for the ASIC package.

- **We think OpenAI Jalapeno is being mismodeled.** Based on initial feedback from our initiation (see here: US Networking: Scaling the bandwidth wall. Initiating with a positive view), we believe that most investors are generally either 1) entirely unsure on how to model the impact of OpenAI Jalapeno on Celestica's financials, or 2) benchmarking the per-rack economics to that of Google TPU. However, we believe the latter approach is still significantly modeling the impact of the Jalapeno program, in two key ways.

- **OpenAI's design has significantly higher scale-up content than other rack architectures, increasing Celestica's value add and profit dollars.** We observe that both Google and OpenAI are sophisticated buyers who are likely able to anchor Celestica's (or any other supplier's) profit dollars to the value add. However, OpenAI Jalapeno is employing an ambitious design that differs materially from more well-established rack designs such as Nvidia or TPU, and one of the main differences is that Jalapeno seeks to minimize dependence on scale-out in favor of expanding the scale-up domain as much as possible. Given that high-performance switches are one of the highest value (and highest margin) parts of Celestica's business, and this increases the importance and complexity of the scale-up switches (Exhibit 1), this in turn would increase Celestica's value add to OpenAI, in turn, Celestica's profit dollars.

- **Because OpenAI Jalapeno is a full-rack program, Celestica's content should be much higher than for Google TPU, and the difference in revenue could be wider than the difference in profit dollars...** We remind investors that for both programs, Celestica is using a consignment model for the ASIC package. Under consignment, while Celestica is doing the manufacturing, and so components go into Celestica's facilities (and finished products come out), from an accounting perspective this is treated as a sale directly from ASIC suppliers to Google. The ASIC package (predominantly the ASIC itself and pacakged HBM) would not hit Celestica's inventory or P&L, while the remainder of the components would flow through Celestica's inventory and then income statement. Because OpenAI Jalapeno is a full rack program, the total value of components that flow through Celestica's income statement is much higher than in the TPU program. While the accounting treatment likely has no impact to profit dollars (as mentioned, profit dollars are likely anchored to real economic value add), this could materially increase the revenue contribution from OpenAI Jalapeno compared to a hypothetical alternative where a higher share of component value was on consignment.

Accordingly, we believe investors that are forecasting OpenAI Jalapeno by benchmarking to TPU economics are significantly underestimating the revenue contribution from OpenAI Jalapeno. We believe OpenAI Jalapeno is a ~$5M rack; a 1.3 GW deployment would imply $11.6B in revenues. Based on our conversations with industry participants, and comparing to our prior work on Nvidia rack economics, we estimate Jalapeno is a ~$5M rack (Exhibit 1, again). We believe the consigned accelerator package includes a ~$2M ASIC and ~$900k in HBM, so excluding the accelerator package, the rest of the rack contains ~$2.2M in Celestica content, which would flow through Celestica's inventory and income statement. Given Broadcom's disclosure that this would be a 1.3GW deployment in 2027, SemiAnalysis' estimate that Jalapeno requires 180 kW of privisoned power (link), and our own estimate that the Jalapeno pod will consume ~80% of total data center power, this implies that this could be ~5.6k racks in 2027, or a $11.6B revenue opportunity.

User-supplied image received October 3; original analyst/date unresolved. Read alongside the corrected arithmetic and explicit program probabilities.

How the breadcrumb enters the active model

The reference 2027 model already contains $6 bn of Jalapeno revenue. The $11.6 bn upper outcome now receives 40%, the $6 bn reference receives 35%, and the $3 bn slow outcome receives 25%. Weighted 2027 program revenue is $7.49 bn: $6 bn +40% x($11.6 bn-$6 bn) +25% x($3 bn-$6 bn). Only the $1.49 bn expected increment enters above reference. The existing output and cost endpoints are unchanged.

The reference pool corresponds to roughly 2,727 rack equivalents at an illustrative $2.2 m content wallet; the upper pool to 5,273 and the slow pool to 1,364. These are arithmetic checks, not disclosed shipments. At 180 kW and 80% pod share, the upper pool corresponds to about 1.19 GW of facility power, which fits within the cited 1.3 GW envelope without demanding exact utilization of every planned watt.

Reference program gross margin is 12%, an analyst proxy. The upper increment earns 11.5% gross margin and incurs an additional 1.5% of revenue in engineering/support expense, giving 10% incremental operating margin. That is 88.5 cents of production cost and 1.5 cents of incremental operating cost per new revenue dollar. Production cost includes materials, assembly, test, yield/warranty and manufacturing depreciation; exact contract BOM costs are not public. The slow outcome removes 12% GP on lost revenue but saves only 0.5% in support costs; fixed R&D and SG&A remain.

A late-Q1 initial production expectation informs an 8%/20%/32%/40% quarterly 2027 program allocation. Other core products use 20%/23%/27%/30%. Subsequent years use the latter weighting for all pools. Timing is low-confidence. Future revenue may be recognized over time for qualifying customized contracts or on control transfer for others; accepted-rack language in the thesis is an operating proxy, not a universal accounting rule.

For 2028, the reference program is $9 bn, upper $15 bn and slow $7 bn. The>5 GW partner forecast is not multiplied mechanically by the 2027 rack wallet: generation mix, power denominator, timing, allocation and owned content can all change. This deliberately bounded monetary proxy needs revision as contracts and shipments become visible.

2027 branch	Probability	Program revenue ($bn)	Incremental OP vs reference ($m)
Upper	40%	11.60	560.00
Reference	35%	6.00	0.00
Slow	25%	3.00	-345.00
Probability-weighted	100%	7.49	137.75

TAM is large; the captured wallet is much smaller

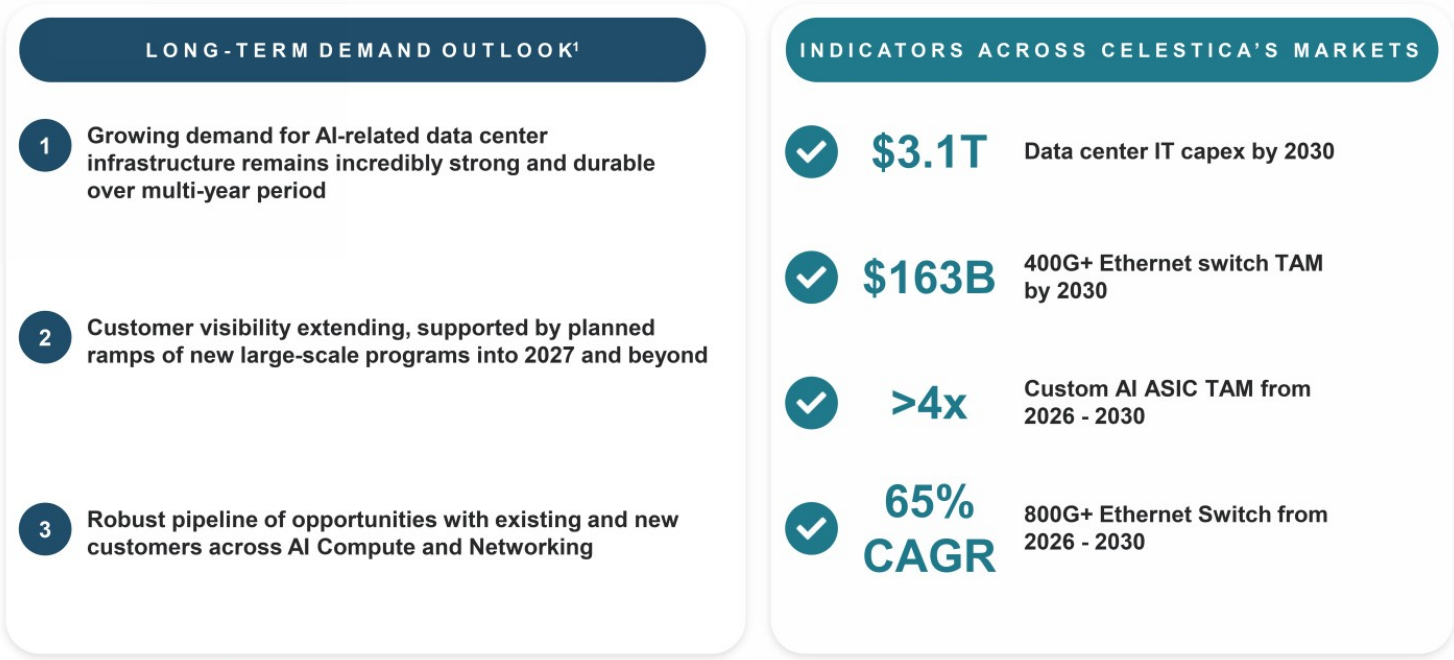
The August issuer deck reproduces third-party estimates of $3.1 tn of datacenter IT capex by 2030, a $163 bn 400 G+ Ethernet switch market, more than 4 x growth in custom ASIC TAM and 65% CAGR for 800 G+ switches over 2026-2030. These are forecasts with distinct denominators. They cannot be summed, and custom silicon spend is largely excluded from consigned compute revenue.

The active 2030 networking reference is about $30.0 bn, roughly 18.4% of the $163 bn indicator. That is a scope check rather than a precise share prediction: the modeled communications pool includes some activities outside that exact switch market. The model's overall growth slows as deployment matures and margins ease in 2029-2030; it does not extrapolate the 65% high-speed category CAGR across all Celestica revenue.

TAM expansion follows the framework phases: AI infrastructure already monetizes the capability; physical AI, industrial and edge systems offer adjacent demand; defense and other advanced systems add longer-duration options. The 50% and 20% later-phase conceptual weights inform the TAM score. They create no free revenue line without a specific customer/program bridge. ATS already contains existing industrial/defense activity, so it is not counted again as new optionality.

GROWTH TAILWINDS

The AI Infrastructure Spend Supercycle



Sources: Dell'Oro Group and 650 Group; figures approximate.
1) See "Cautionary Note Regarding Forward-Looking Statements".

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Source: August 5 issuer deck, slide 9; Dell'Oro/650 Group estimates as reproduced by Celestica. These are overlapping market indicators, not contracted company sales.

Customer capital spending: calibrated, with identity limits

Framework AH-12 requires a demand-side check. Known relationships include Google TPU work and OpenAI/Broadcom integration; management identifies Celestica as Google's preferred/primary manufacturing partner, not an exclusive supplier. The filing does not identify the three customers representing 32%,17% and 14% of Q2 sales. This report does not assign those percentages to names.

The numerical bridge allocates 40% of FY2025 CCS to a **Google-linked exposure proxy** and 60% to an unnamed other-cloud cohort. This is an analyst sensitivity structure, not reported customer revenue. It calibrates to actual FY2025 CCS $9,188.5 m exactly, and plus ATS $3,202.4 m gives consolidated $12,390.9 m. Google's 2025 capex was $91.4 bn. Its latest 2026$195-205 bn guidance uses $200 bn here; the official July 22 call was retrieved and read.

Other-cloud capex is an index with 2025 = 1:1.5 in 2026,1.875 in 2027,2.25 in 2028,2.5875 in 2029 and 2.84625 in 2030. The Google path is $260/$330/$390/$450 bn for 2027-2030, all analyst forecasts. Peer context includes Meta's $130-145 bn 2026 versus $72.22 bn 2025 and Microsoft's approximately $175 bn calendar 2026. These companies are contextual spending indicators; they are not asserted to be all of Celestica's unnamed customers.

The 2026 capture factor is calibrated to $16.8 bn core CCS within issuer total guidance. On top of customer spending growth, content/capture rises 14% in 2027 and 8% in 2028, then stays flat. These bounded judgment inputs reflect 1.6 T, custom compute and design-led wins; no separate CPO/AMD bonus is added. The resulting 2027 company reference is $34.31 bn before Jalapeno weighting, or 67.4% growth, converging with management's greater-than 65% outlook. Core revenue is allocated 70% networking/30% other enterprise thereafter.

The historical identity check is exact but future precision is low because exposure and supplier allocation are undisclosed. The spreadsheet exposes these spend and content inputs and links them into product revenue. Aggregate calibration does not prove the 40/60 split. A named customer allocation, revised spend path or lower value capture should change this bridge. The forecast is not an import of an analyst price target.

Source scope matters: Alphabet's 40% infrastructure slice includes buildings and networking, not networking alone. Microsoft's revised capex classification changes finance-versus-operating-lease timing without the same change in physical investment. We avoid adding these incompatible reported measures into a spurious exact customer TAM. See Alphabet official Q2 call.

Two recent calls: the trajectory and the constraints

April 28 management raised the full-year outlook to $19 bn, described two hyperscaler 1.6 T ramps in H2, and expected the then-unnamed digital-native compute program to enter production late in Q1 2027. It identified constraints in memory, silicon,40-plus-layer boards, power and optics, with investments tied to specific programs in Texas and Southeast Asia. This is source chronology, not a retained old valuation.

July 28 management raised revenue guidance to $20.5 bn, named OpenAI, discussed ten active 1.6 T programs and expected 2027 growth to accelerate beyond 65%. It described OpenAI and AMD as separate multibillion-dollar opportunities, CPO samples in H1 2027 and production in H2, and a capacity roadmap extending into 2028-2029. The active model uses July guidance, adjusted for the completed August share issuance.

The calls also constrain the thesis. Materials can restrict delivery even if factory capacity exists. Some binding forecasts cover 12-18 months and certain long-lead purchases are NCNR, but this is not a universally prepaid backlog. Customer-funded equipment/NRE and inventory deposits reduce exposure selectively. Margin comments emphasize HPS mix and operating leverage alongside purchased-component inflation. Q3 model ATS revenue $950.6 m implies 21.7% growth versus management's mid-teens outlook: this is a labeled model mix assumption, not the guided segment number; the total remains at the $5.4 bn midpoint.

Original issuer results/filings were read. Management remarks were read through saved Quartr/StockAnalysis transcript mirrors, with the original issuer event date checked; the audio was not independently transcribed. The two transcript links are in the source register. The next investor day is October 27,2026; it is a future catalyst, not evidence already in this model.

Input	Latest source position	Active treatment
2026 revenue	$20.5 bn guidance	H1 actuals + H2 model equals $20.5 bn
2026 adjusted OP margin	8.4% guidance	Core OP retains SBC/amortization; reconciliation below
2027 revenue	Growth above 65%	Reference 67.4%; weighted case 76.7%
Capacity investment	$1 bn 2026; $1.5 bn 2027 placeholder	$2 bn 2027 funding allowance for larger weighted ramp
1.6 T/CPO	H2 2026 / H2 2027 ramps	Inside core demand/capture; no additive TAM bonus

Funding the ramp and the dilution that funds it

June 30 cash was $535.7 m; term-loan principal $740 m. Including finance leases and issuance-cost offsets, balance-sheet borrowings/finance leases were $810.4 m. The $1.75 bn revolver was undrawn, with $10.4 m letters of credit reducing availability. Quarter-end zero revolver balance does not mean there was no intraquarter financing.

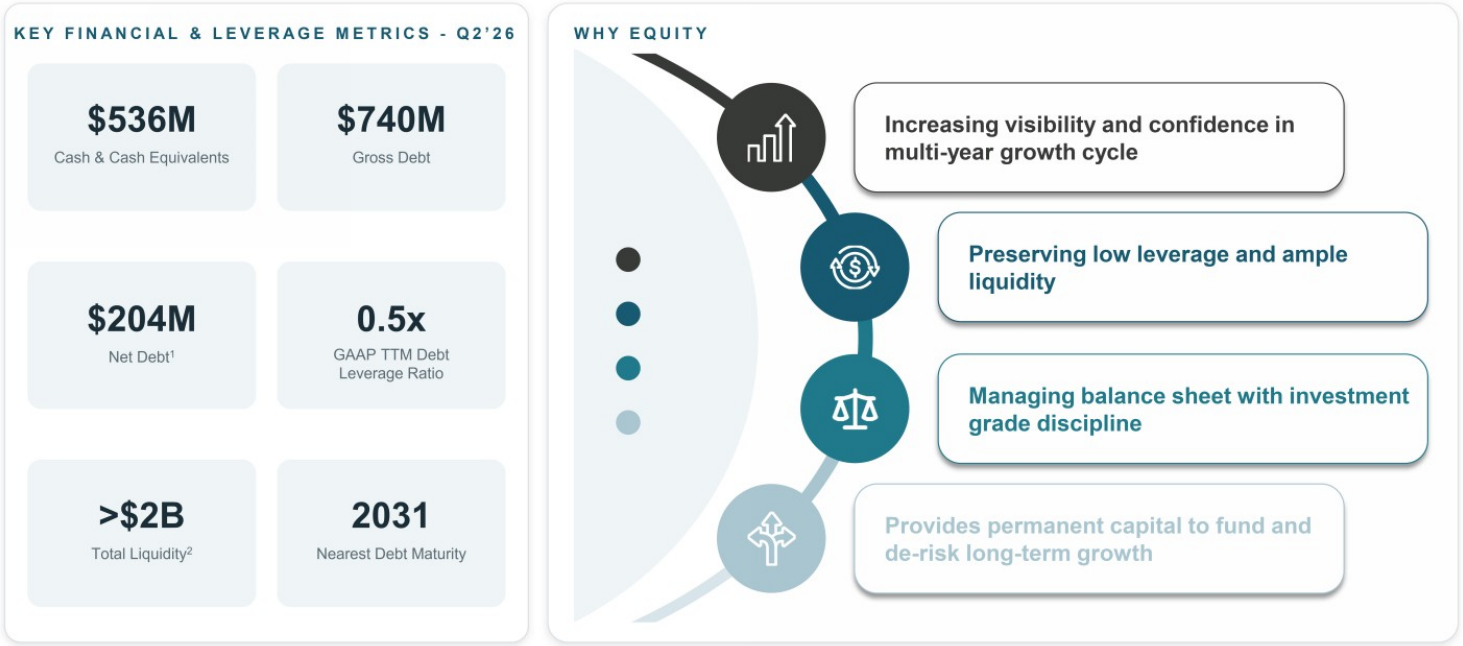
The August 7 offering issued 11,129,031 shares at $310, including the full option. Post-offering common shares were 126,111,117 before subsequent employee activity. Underwriting discounts and estimated expenses imply about $3.391 bn net proceeds. Adding this to June cash produces a **pro forma**$3.927 bn starting resource, not reported August or October cash.

Working capital can absorb that money quickly. June receivables were $3.338 bn and inventory $3.402 bn; payables $3.820 bn and inventory deposits $481 m partly offset them. Net operating working capital on that defined basis was $2.439 bn. The model assumes 15% of annualized sales after 2026 versus about 13% at June, so it does not perpetually extrapolate the favorable supplier-payment timing. Receivables sales are uncommitted financing and not a free permanent source of capital.

Future capex, inventory, engineering and dilution are already charged. The cash plan keeps stock compensation as an expense and does not add it back, but it is still a simplified planning bridge, not full statutory cash flow. It assumes no buybacks, dividend, additional equity raise or revolver draw. A slower cash collection cycle, higher equipment commitments or cash-settled compensation would use more funding. No surplus cash is added to the 20 x operating-profit valuation.

WHY EQUITY

Balanced Approach to Funding Growth



1) Net Debt calculated as Gross Debt minus Cash and Cash Equivalents
2) Total liquidity is defined as cash and cash equivalents as of June 30, 2026, plus the total availability under Celestica's Revolver following the amendment to our credit agreement, as previously announced on April 27, 2026.

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Source: August 5 issuer presentation, slide 14. Values are June 30, before the offering. The completed August issuance and its dilution are incorporated separately in the active model.

Four risks that matter to the score

Competition (-1). Hyperscalers dual-source and can move mature designs. EMS/ODM competitors include Jabil, Flex, Hon Hai, Sanmina, Quanta, Wiwynn and Accton; Arista/Cisco and customer designs offer other networking paths. HPE's September 30 Helios/Vultr announcement features HPE Juniper scale-up trays. It disproves an exclusive Celestica-branded architecture claim, but HPE does not disclose the contract manufacturer, so it is not evidence of zero Celestica content.

Execution (-1). Qualified throughput needs power, skilled staff, equipment, components, yield and design stability. One missing optical or silicon part can delay a valuable rack. The slow Jalapeno branch and gross-margin sensitivity quantify part of this risk; factory square footage alone is not sales capacity.

Concentration and demand (-1). Top ten customers represented 83% of Q2 revenue, and the largest three 63%. Capital plans are not unconditional purchase orders. AI efficiency, architectural changes, external funding or power delays can lower equipment demand even if long-run AI usage rises. The same customer capex shock can hit several covered suppliers at once.

Capital intensity and dilution (-1). A funded balance sheet helps, but rising inventory, receivables and capex are large relative to historical earnings. The equity raise increases capacity funding while lowering each share's claim. Product margins, cash settlement of awards and future capital choices remain material. There is no separate governance deduction without specific adverse evidence.

What would weaken the thesis	What to watch
Core revenue below customer-spend bridge	Revised capex, customer share or content; distinguish shipment delay from cancellation
Jalapeno below $6 bn reference	Ramp cadence, owned versus consigned content, power denominator and customer allocation
GP fails to convert into OP	Engineering, yield, purchased-component inflation; remove hedge gains before comparison
Cash use exceeds funding bridge	Receivables, inventory, supplier terms, capex and new shares

Portfolio fit and the next proof points

Celestica adds exposure to qualified systems design and rack integration. It shares capex risk with Jabil, Fabrinet, Broadcom, Marvell, optical components and the memory suppliers already researched. It is not diversified away from the AI infrastructure cycle simply because it sits at another layer. A shortage that improves a component supplier's ASP may simultaneously defer Celestica shipments.

The immediate checkpoints are October 27 investor day and Q3 results: total revenue, recurring GP/OP, program ramp cadence, updated share count and cash deployment. In 2027, monitor 1.6 T volume, CPO qualification, OpenAI and AMD contribution, customer-specific content, and gross-to-net accounting. Raise or lower probabilities and demand coefficients when evidence changes; preserve the 20 x methodology unless Tom explicitly changes it.

This review surfaced incumbent alternatives and upstream constraints, but no new outside-universe company with a sufficiently specific new scarcity signal to warrant a separate deep-dive recommendation solely from these sources. Competitor names are retained for monitoring rather than assigned unrequested scores or portfolio rows.

The next 12-16 months have the strongest guidance and program evidence. The 2028-2030 figures are lower-confidence scenarios supporting the rolling valuation path. Numerical detail makes them auditable; it does not make distant deployment forecasts reliable.

Reported calibration and model bridge

Reported Q2 GP 577.5 minus TRS hedge gain 48.4 = 529.1. SG&A 58.1 plus TRS gain 55.7 = 113.8; R&D 46.3 and all intangible amortization 11.9 give recurring opex 172.0 and OP 357.1. Same OP = reported 458.3 minus 104.1 TRS gain plus 2.9 restructuring = 357.1, or adjusted 386.3 minus 19.3 SBC minus 9.9 excluded amortization. All future SBC and amortization remain costs. Product calibration allocates normalized CCS GP 426.7 and ATS102.4; communications 12% and residual enterprise 9.36099% are model proxies, not reported product margins. Allocation of all retained production SBC to CCS is a calibration proxy; reported segment GP is CCS436.3 plus ATS102.4, before the 9.6 SBC adjustment.

Metric	Reported	Reconstructed	Period
REVENUE	4,698.60	4,698.60	Q2 2026 recurring (not reported GAAP)
GP	529.10	529.10	Q2 2026 recurring (not reported GAAP)
OPEX	172.00	172.00	Q2 2026 recurring (not reported GAAP)
OP	357.10	357.10	Q2 2026 recurring (not reported GAAP)

Reported period	Revenue	Gross profit	SG&A / opex	Operating profit	Net income
FY2025 GAAP	12,390.90	1,494.10	453.40	1,040.70	-
Q1 2026 GAAP	4,047.00	437.20	165.10	272.10	212.30
Q2 2026 GAAP	4,698.60	577.50	119.20	458.30	368.80
Q2 recurring basis	4,698.60	529.10	172.00	357.10	-

Reported calibration is distinct from the forward probability-weighted model. Units: USD millions.

Quarterly product revenue: 18-quarter model

Status: all 18 forward rows are modeled forecasts, including elapsed periods whose results were unreported at the research cut. They are not reported actuals or issuer guidance.



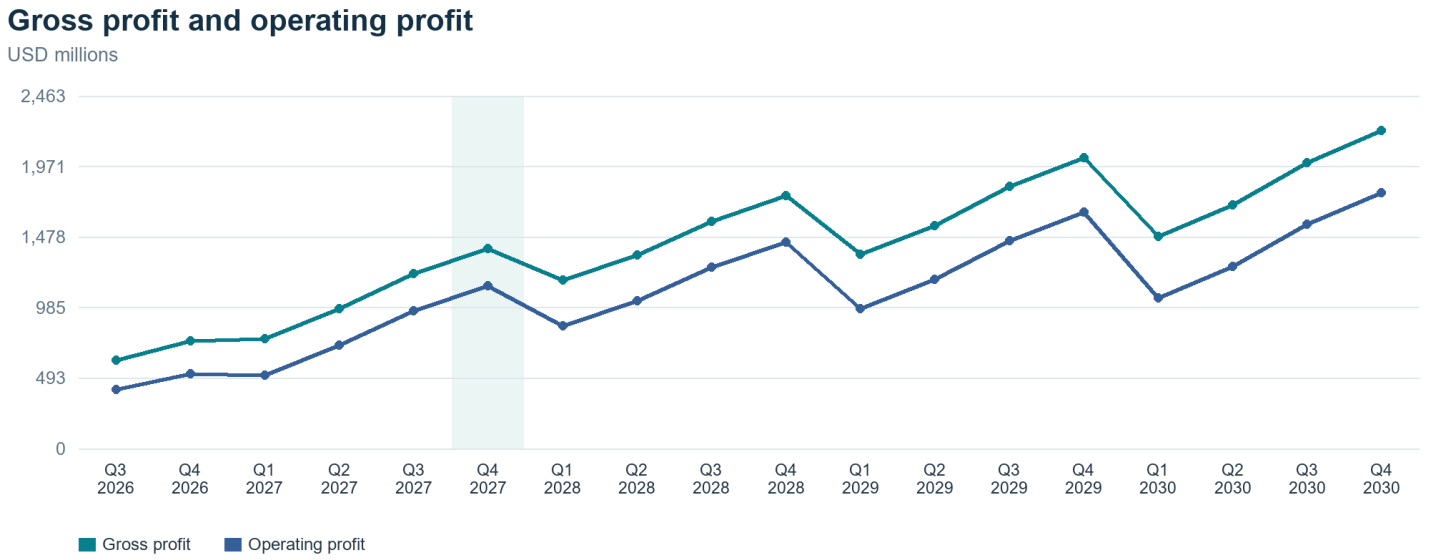
Source: analyst operating model, research cut 2026-10-04. USD millions.

The highlighted quarter is the active valuation start. Revenue equals the reference path plus probability-weighted incremental outcomes. The final three quarters support earlier forward-four-quarter windows.

Numeric product revenue schedule

Modeled calendar quarter	Networking / communications	Other enterprise / compute	Jalapeno full rack	ATS	Consolidated
Q3 2026	3,100.00	1,349.40	0.00	950.60	5,400.00
Q4 2026	3,636.20	1,663.10	100.00	955.10	6,354.40
Q1 2027	3,417.70	1,464.73	599.20	780.00	6,261.63
Q2 2027	3,930.35	1,684.44	1,498.00	897.00	8,009.79
Q3 2027	4,613.89	1,977.38	2,396.80	1,053.00	10,041.08
Q4 2027	5,126.55	2,197.09	2,996.00	1,170.00	11,489.64
Q1 2028	4,557.83	1,953.36	2,180.00	840.00	9,531.19
Q2 2028	5,241.51	2,246.36	2,507.00	966.00	10,960.87
Q3 2028	6,153.07	2,637.03	2,943.00	1,134.00	12,867.11
Q4 2028	6,836.75	2,930.04	3,270.00	1,260.00	14,296.78
Q1 2029	5,316.46	2,278.48	2,640.00	900.00	11,134.95
Q2 2029	6,113.93	2,620.26	3,036.00	1,035.00	12,805.19
Q3 2029	7,177.22	3,075.95	3,564.00	1,215.00	15,032.18
Q4 2029	7,974.69	3,417.73	3,960.00	1,350.00	16,702.42
Q1 2030	5,998.02	2,570.58	2,900.00	960.00	12,428.60
Q2 2030	6,897.72	2,956.17	3,335.00	1,104.00	14,292.89
Q3 2030	8,097.33	3,470.28	3,915.00	1,296.00	16,778.61
Q4 2030	8,997.03	3,855.87	4,350.00	1,440.00	18,642.90

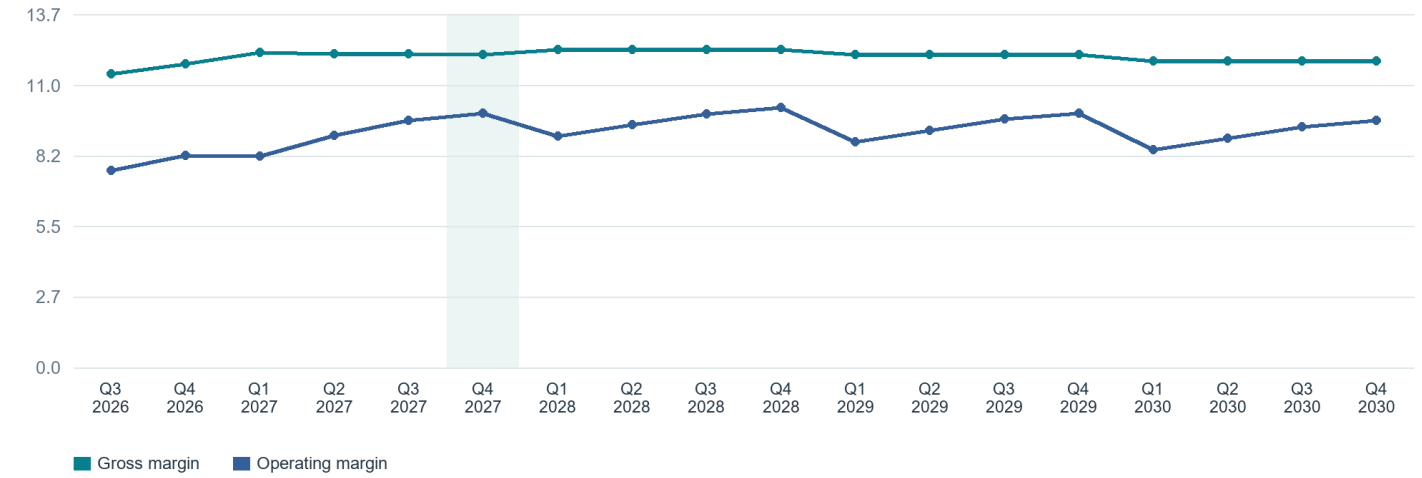
Gross profit, operating cost and margin



Source: analyst operating model, research cut 2026-10-04. USD millions.

Consolidated margin

Percent



Source: analyst operating model, research cut 2026-10-04. Percent.

Quarterly operating schedule

Modeled quarter	Revenue	Gross profit	COGS	SG&A / opex	Operating profit	GM	OP margin
Q3 2026	5,400.00	616.82	4,783.18	203.42	413.39	11.4%	7.7%
Q4 2026	6,354.40	750.04	5,604.36	227.00	523.04	11.8%	8.2%
Q1 2027	6,261.63	766.12	5,495.51	251.89	514.23	12.2%	8.2%
Q2 2027	8,009.79	976.90	7,032.89	255.47	721.43	12.2%	9.0%
Q3 2027	10,041.08	1,222.43	8,818.65	259.05	963.38	12.2%	9.6%
Q4 2027	11,489.64	1,397.70	10,091.94	261.44	1,136.26	12.2%	9.9%
Q1 2028	9,531.19	1,176.52	8,354.67	318.70	857.82	12.3%	9.0%
Q2 2028	10,960.87	1,353.00	9,607.87	319.70	1,033.30	12.3%	9.4%
Q3 2028	12,867.11	1,588.31	11,278.80	321.05	1,267.26	12.3%	9.8%
Q4 2028	14,296.78	1,764.78	12,532.00	322.05	1,442.73	12.3%	10.1%
Q1 2029	11,134.95	1,354.88	9,780.07	377.10	977.78	12.2%	8.8%
Q2 2029	12,805.19	1,558.11	11,247.08	378.01	1,180.10	12.2%	9.2%
Q3 2029	15,032.18	1,829.09	13,203.09	379.24	1,449.85	12.2%	9.6%
Q4 2029	16,702.42	2,032.32	14,670.10	380.15	1,652.17	12.2%	9.9%
Q1 2030	12,428.60	1,479.37	10,949.23	428.00	1,051.37	11.9%	8.5%
Q2 2030	14,292.89	1,701.27	12,591.62	428.82	1,272.45	11.9%	8.9%
Q3 2030	16,778.61	1,997.15	14,781.46	429.93	1,567.22	11.9%	9.3%
Q4 2030	18,642.90	2,219.05	16,423.85	430.75	1,788.30	11.9%	9.6%

Operating cost includes R&D, SG&A, all intangible amortization and explicitly charged incremental support expense. Stock compensation remains in production and operating costs; future TRS hedge gains are not assumed. Product margins are model assumptions where the issuer does not report them.

Explicit operating-expense components - USD millions

Quarter	R&D	SG&A	Amortization	Weighted extra support	Total opex
Q3 2026	57.00	134.42	12.00	0.00	203.42
Q4 2026	66.00	149.00	12.00	0.00	227.00
Q1 2027	75.00	162.50	12.00	2.39	251.89
Q2 2027	75.00	162.50	12.00	5.97	255.47
Q3 2027	75.00	162.50	12.00	9.55	259.05
Q4 2027	75.00	162.50	12.00	11.94	261.44
Q1 2028	97.50	202.50	12.00	6.70	318.70
Q2 2028	97.50	202.50	12.00	7.70	319.70
Q3 2028	97.50	202.50	12.00	9.04	321.05
Q4 2028	97.50	202.50	12.00	10.05	322.05
Q1 2029	117.50	242.50	11.00	6.10	377.10
Q2 2029	117.50	242.50	11.00	7.01	378.01
Q3 2029	117.50	242.50	11.00	8.23	379.24
Q4 2029	117.50	242.50	11.00	9.15	380.15
Q1 2030	137.50	275.00	10.00	5.50	428.00
Q2 2030	137.50	275.00	10.00	6.33	428.82
Q3 2030	137.50	275.00	10.00	7.42	429.93
Q4 2030	137.50	275.00	10.00	8.25	430.75

Quarterly product gross profit: complete bridge

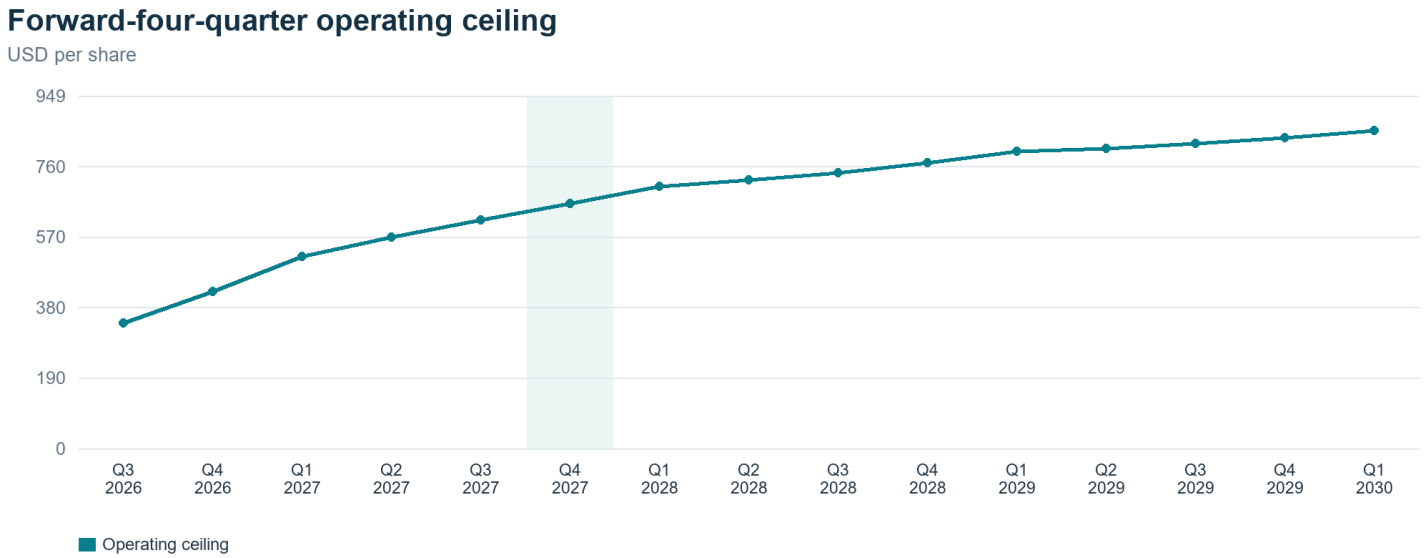
For each product and quarter: modeled GP = reference revenue x reference GM + sum of probability x conditional incremental GP. Consolidated GP is the sum of product GP. Operating profit = GP - R&D - SG&A - intangible amortization - probability-weighted incremental support expense. Production depreciation is already in product cost; it is not removed again from OP.

Modeled quarter	Networking / communications	Other enterprise / compute	Jalapeno full rack	ATS	Consolidated GP
Q3 2026	381.300	121.446	0.000	114.072	616.818
Q4 2026	465.434	157.994	12.000	114.612	750.040
Q1 2027	451.136	146.473	71.008	97.500	766.117
Q2 2027	518.807	168.444	177.520	112.125	976.895
Q3 2027	609.034	197.738	284.032	131.625	1,222.429
Q4 2027	676.704	219.709	355.040	146.250	1,397.703
Q1 2028	615.307	195.336	259.200	106.680	1,176.523
Q2 2028	707.603	224.636	298.080	122.682	1,353.001
Q3 2028	830.665	263.703	349.920	144.018	1,588.306
Q4 2028	922.961	293.004	388.800	160.020	1,764.785
Q1 2029	707.090	223.291	310.200	114.300	1,354.881
Q2 2029	813.153	256.785	356.730	131.445	1,558.113
Q3 2029	954.571	301.443	418.770	154.305	1,829.089
Q4 2029	1,060.634	334.937	465.300	171.450	2,032.321
Q1 2030	779.743	244.205	333.500	121.920	1,479.368
Q2 2030	896.704	280.836	383.525	140.208	1,701.273
Q3 2030	1,052.653	329.677	450.225	164.592	1,997.146
Q4 2030	1,169.614	366.308	500.250	182.880	2,219.052

Quarterly GP reconciliation: reference plus increments

Modeled quarter	Reference GP	Weighted incremental GP	Total GP
Q3 2026	616.818	0.000	616.818
Q4 2026	750.040	0.000	750.040
Q1 2027	752.709	13.408	766.117
Q2 2027	943.375	33.520	976.895
Q3 2027	1,168.797	53.632	1,222.429
Q4 2027	1,330.663	67.040	1,397.703
Q1 2028	1,133.323	43.200	1,176.523
Q2 2028	1,303.321	49.680	1,353.001
Q3 2028	1,529.986	58.320	1,588.306
Q4 2028	1,699.985	64.800	1,764.785
Q1 2029	1,316.081	38.800	1,354.881
Q2 2029	1,513.493	44.620	1,558.113
Q3 2029	1,776.709	52.380	1,829.089
Q4 2029	1,974.121	58.200	2,032.321
Q1 2030	1,444.868	34.500	1,479.368
Q2 2030	1,661.598	39.675	1,701.273
Q3 2030	1,950.571	46.575	1,997.146
Q4 2030	2,167.302	51.750	2,219.052

Operating ceiling: 15 forward windows



Source: analyst operating model, research cut 2026-10-04. USD per share.

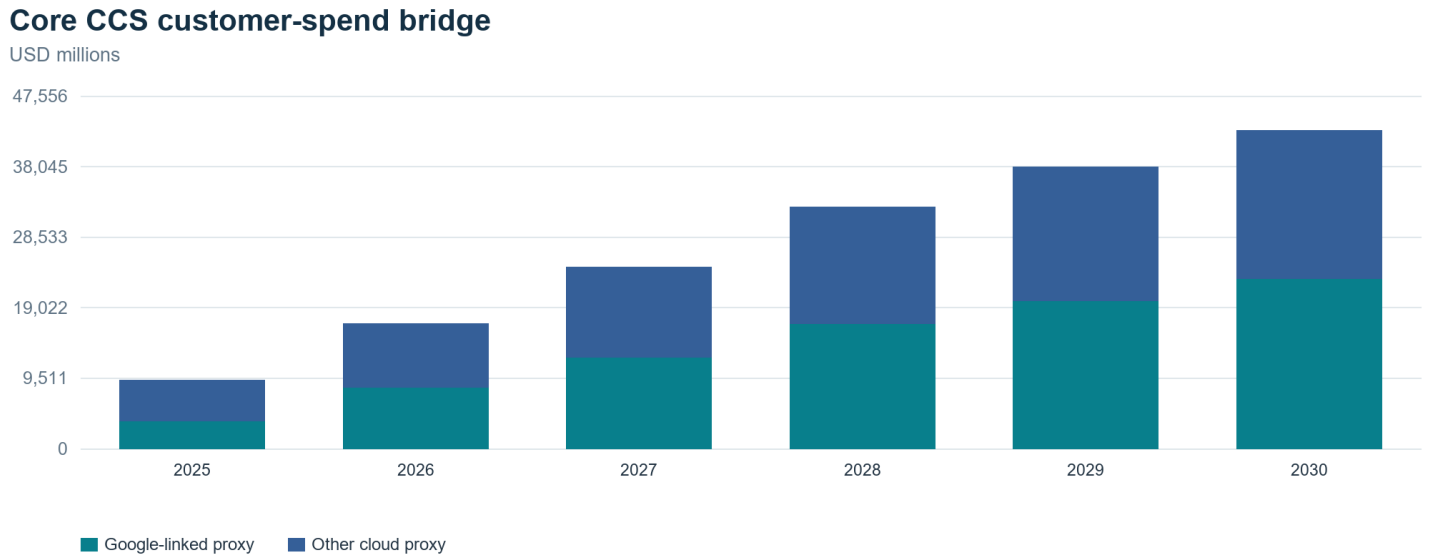
20 x forward-four-quarter recurring operating profit after stock compensation and all intangible amortization / maximum modeled diluted shares in that same window. Future TRS fair-value gains and restructuring are zero assumptions. No net-cash addition or net-debt deduction.

Exact operating-ceiling calculation

Exact four-quarter window	Forward OP (USD millions)	Multiple	Max diluted shares (m)	Ceiling (USD/share)
Q3 2026 - Q2 2027	2,172.088	20 x	128.600000	338
Q4 2026 - Q3 2027	2,722.071	20 x	128.900000	422
Q1 2027 - Q4 2027	3,335.295	20 x	129.200000	516
Q2 2027 - Q1 2028	3,678.889	20 x	129.500000	568
Q3 2027 - Q2 2028	3,990.760	20 x	129.800000	615
Q4 2027 - Q3 2028	4,294.644	20 x	130.100000	660
Q1 2028 - Q4 2028	4,601.115	20 x	130.400000	706
Q2 2028 - Q1 2029	4,721.073	20 x	130.700000	722
Q3 2028 - Q2 2029	4,867.875	20 x	131.000000	743
Q4 2028 - Q3 2029	5,050.468	20 x	131.300000	769
Q1 2029 - Q4 2029	5,259.905	20 x	131.600000	799
Q2 2029 - Q1 2030	5,333.492	20 x	131.900000	809
Q3 2029 - Q2 2030	5,425.841	20 x	132.200000	821
Q4 2029 - Q3 2030	5,543.208	20 x	132.500000	837
Q1 2030 - Q4 2030	5,679.339	20 x	132.800000	855

Post-offering issued shares 126.111117 m = August 4 issued 114.982086 m + 11.129031 m new shares, including full option. Outstanding options 0.038549 m plus awards 1.526720 m give conservative gross fully diluted reference 127.676386 m; ungranted plan reserve 6.677622 m is not counted. Model Q3 2026 uses 127.7 m then 128.0 m in Q4, adding 0.3 m each quarter for future equity compensation. No buybacks or further capital raise assumed. This is a forward diluted denominator, not Q2 weighted-average 116.2 m. Maximum shares in each F4 Q window; USD m/USD sharesm needs no x 1,000 conversion.

Operating drivers: source anchors and model inputs



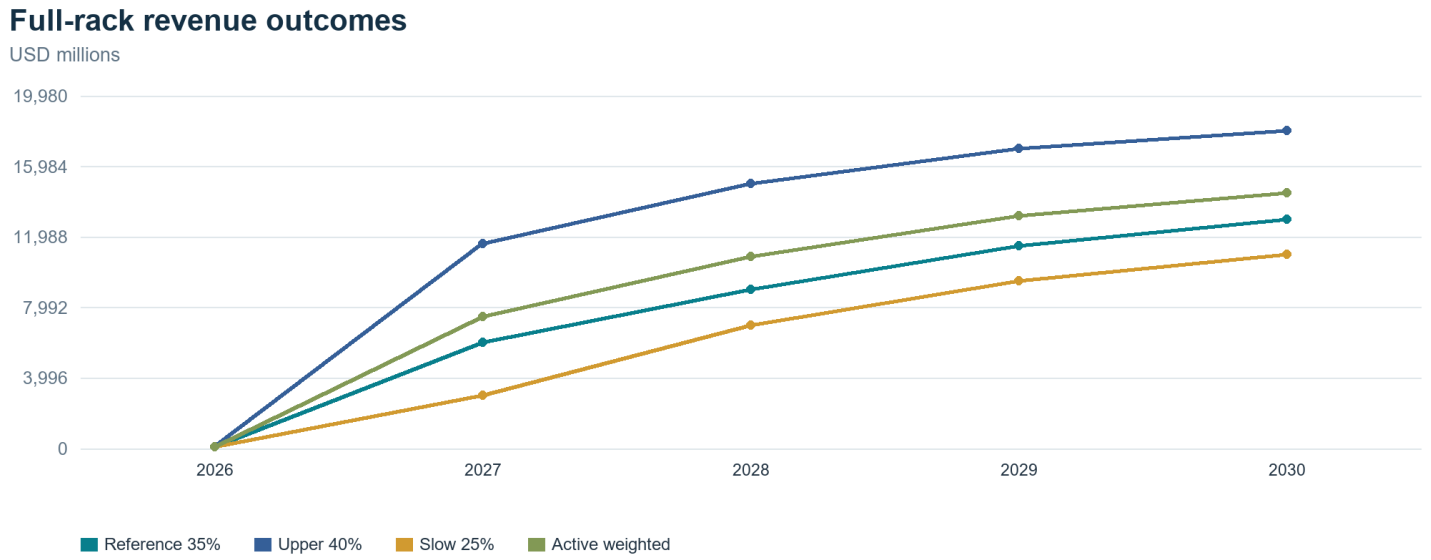
Source: analyst operating model, research cut 2026-10-04. USD millions.

Year	Google capex $bn	Other capex index	Content/capture index	Google proxy sales	Other proxy sales	Core CCS
2025	91.40	1.000	1.0000	3,675.40	5,513.10	9,188.50
2026	200.00	1.500	1.0299	8,283.00	8,517.00	16,800.00
2027	260.00	1.875	1.1741	12,275.41	12,136.72	24,412.13
2028	330.00	2.250	1.2680	16,826.75	15,729.19	32,555.94
2029	390.00	2.587	1.2680	19,886.16	18,088.57	37,974.73
2030	450.00	2.846	1.2680	22,945.57	19,897.43	42,843.00

FY2025 core CCS $9,188.5 m is reported; Google/other exposure 40%/60% is an analyst proxy, not disclosed customer allocation. Google 2025 capex $91.4 bn is actual and 2026$200 bn is the guidance midpoint. All subsequent spend paths and the other-cloud index are model assumptions. The 2026 content coefficient calibrates coreCCS to $16.8 bn within full-year guidance. Formula:

Google pool 3,675.4 x(capex/91.4)xcontent plus other pool 5,513.1 xother-index xcontent. No extra CPO/AMD increment is stacked above this capture factor.

Jalapeno probability bridge: one event, three outcomes



Source: analyst operating model, research cut 2026-10-04. USD millions.

Year	Reference outcome	Upper outcome	Slow outcome	Probability-weighted
2026	100.00	100.00	100.00	100.00
2027	6,000.00	11,600.00	3,000.00	7,490.00
2028	9,000.00	15,000.00	7,000.00	10,900.00
2029	11,500.00	17,000.00	9,500.00	13,200.00
2030	13,000.00	18,000.00	11,000.00	14,500.00

Weights are mutually exclusive and sum 100%. Setting one probability tozero moves that weight to the reference outcome; it does not erase the program. The scenario controls must not sum above 100%. Revenue is already net of assumed customer-consigned accelerator content. No additional final-price haircut is applied.

Annual reference assumptions before probability increments

The reference path is the starting scenario, before any probability-weighted ledger increment. These are full annual reference assumptions as supplied by the model; the final fiscal year may only be partly present in the 18-quarter operating schedule.

Reference product revenue - USD millions

Product	CY 2026	CY 2027	CY 2028	CY 2029	CY 2030
Networking / communications	11,800.000	17,088.492	22,789.161	26,582.313	29,990.100
Other enterprise / compute	5,000.000	7,323.639	9,766.783	11,392.420	12,852.900
Jalapeno full rack	100.000	6,000.000	9,000.000	11,500.000	13,000.000
ATS	3,600.000	3,900.000	4,200.000	4,500.000	4,800.000

Reference product gross-margin assumptions

Product	CY 2026	CY 2027	CY 2028	CY 2029	CY 2030
Networking / communications	12.3%	13.2%	13.5%	13.3%	13.0%
Other enterprise / compute	9.0%	10.0%	10.0%	9.8%	9.5%
Jalapeno full rack	12.0%	12.0%	12.0%	11.8%	11.5%
ATS	12.0%	12.5%	12.7%	12.7%	12.7%

Reference operating-expense assumptions

Reference year	R&D + SG&A + amortization (USD millions)	Variable opex / revenue
CY 2026	798.000	0.0%
CY 2027	998.000	0.0%
CY 2028	1,248.000	0.0%
CY 2029	1,484.000	0.0%
CY 2030	1,690.000	0.0%

The 2026 full-year product GM and expense entries are orientation assumptions only; the explicit Q3/Q4 inputs and reported H1 reconcile the active 2026 result. Later annual costs are allocated across quarters; their share of revenue declines as engineering investment scales more slowly than delivery.

Annual product totals and cost structure

Annual totals cover the quarters present in the 18-quarter model. A period marked fewer than four quarters is partial; it is not a full-year forecast.

Period / quarters	Networking / communications	Other enterprise / compute	Jalapeno full rack	ATS	Revenue
CY 2026 / 2	6,736.20	3,012.50	100.00	1,905.70	11,754.40
CY 2027 / 4	17,088.49	7,323.64	7,490.00	3,900.00	35,802.13
CY 2028 / 4	22,789.16	9,766.78	10,900.00	4,200.00	47,655.94
CY 2029 / 4	26,582.31	11,392.42	13,200.00	4,500.00	55,674.73
CY 2030 / 4	29,990.10	12,852.90	14,500.00	4,800.00	62,143.00

Period	Revenue	Gross profit	COGS	SG&A / opex	Operating profit	GM	OP margin
CY 2026	11,754.40	1,366.86	10,387.54	430.42	936.43	11.6%	8.0%
CY 2027	35,802.13	4,363.14	31,438.99	1,027.85	3,335.29	12.2%	9.3%
CY 2028	47,655.94	5,882.62	41,773.33	1,281.50	4,601.12	12.3%	9.7%
CY 2029	55,674.73	6,774.40	48,900.33	1,514.50	5,259.90	12.2%	9.4%
CY 2030	62,143.00	7,396.84	54,746.16	1,717.50	5,679.34	11.9%	9.1%

Product assumption provenance

Product	Source / model basis	Confidence
Networking / communications	Q2 10-Q communications; issuer 800 G/1.6 T production roadmap. Excludes full-rack Jalapeno pool below. Future mix and gross margins are analyst proxies.	MEDIUM near term; LOW after 2028
Other enterprise / compute	Q2 10-Q enterprise: AI/ML, server and storage. Google/AMD growth is inside this pool; no separate additive customer TAM.	MEDIUM / LOW split
Jalapeno full rack	OpenAI/Broadcom June 24 confirmed Celestica role; user-supplied October 3 analyst image supplies conditional economics. No issuer revenue split.	LOW program revenue and margin
ATS	Q2 10-Q aerospace/defense, industrial, healthtech and capital equipment; aggregate reference grows 8% in 2027.	MEDIUM

Probability ledger: conditional outcomes

Each probability applies once to the specified incremental outcome above its reference path. These are analyst judgments, not issuer guidance. Positive and negative interactions remain governed by each stated overlap rule.

ID / outcome	Probability	Active-window incremental revenue	Active-window incremental OP
JALA_UP - Larger full-rack content and timely 2027 deployment	40.0%	2,576.000	257.600
JALA_SLOW - Delayed rack acceptance and lower gross-booked content	25.0%	-650.000	-74.750

Active window: Q4 2027 - Q3 2028. Units: USD millions. Incremental OP includes variable operating expense and any dedicated incremental expense.

JALA_UP | Larger full-rack content and timely 2027 deployment

Assigned probability: 40.0% | 2026-10-04 DOT review; same existing program outcomes

Evidence

User Jalapeno image; OpenAI/Broadcom June 24 issuer confirmation; Celestica Q2 call July 28. Identified program plus a single unverified economic estimate; no assumption that bank figures are company guidance.; October 4 Irrational Analysis and Jukan yield-risk commentary, compared with the original August 25 SemiAnalysis lab report.

Reference path

CY2027 already includes $6,000 m Jalapeno, within $34,312.131 m company reference. CY2028/29/30 reference $9,000 m/$11,500 m/$13,000 m. Growth and engineering value already credited; do not add the whole opportunity again.

Conditional outcome

Upper Jalapeno revenue $11,600 m/$15,000 m/$17,000 m/$18,000 m in CY2027/28/29/30. Upper-minus-reference only: incremental GP 11.5% less dedicated engineering/support 1.5% gives 10% incremental OP. No future hedge gain. 2027 conditional rack economics are bounded $11-13 bn, not precise guidance.

Probability rationale

Upper 40/reference 35/slow 25. Transfer 5 percentage points from the upper branch to the existing slow branch for new engineering/yield counter-evidence. The 25% A0/B0 efficiency gain does not measure production yield or establish a delay. Source interpretations conflict and reposts are one chain. Only a modest probability change is justified; no second revenue haircut.

Overlap control

Mutually exclusive with JALA_SLOW; reference weight = 1 - p_upper - p_slow. Core communications excludes this whole-rack pool, including embedded switching. Google, AMD, 1.6 T, CPO and broad capex growth are inside reference, not separate increments.

Revision trigger

Oct 27 investor day/next results: named program ramp, gross versus consigned content, actual rack acceptance and margin. Above $11.6 bn needs new volume/content evidence; below reference or power/silicon delay transfers probability to slow.

Probability-weighted quarterly effect

Quarter	Incremental revenue	Incremental GP	Incremental OP
Q3 2026	0.000	0.000	0.000
Q4 2026	0.000	0.000	0.000
Q1 2027	179.200	20.608	17.920
Q2 2027	448.000	51.520	44.800
Q3 2027	716.800	82.432	71.680
Q4 2027	896.000	103.040	89.600
Q1 2028	480.000	55.200	48.000
Q2 2028	552.000	63.480	55.200
Q3 2028	648.000	74.520	64.800
Q4 2028	720.000	82.800	72.000
Q1 2029	440.000	50.600	44.000
Q2 2029	506.000	58.190	50.600
Q3 2029	594.000	68.310	59.400
Q4 2029	660.000	75.900	66.000
Q1 2030	400.000	46.000	40.000
Q2 2030	460.000	52.900	46.000
Q3 2030	540.000	62.100	54.000
Q4 2030	600.000	69.000	60.000

JALA_SLOW | Delayed rack acceptance and lower gross-booked content

Assigned probability: 25.0% | 2026-10-04 DOT review; same existing program outcomes

Evidence

Issuer warns of silicon/component availability, qualification and deployment timing. User image arithmetic and accounting scope are uncertain. HPE/Juniper alternative Helios implementation confirms competitive system paths.; October 4 Irrational Analysis and Jukan yield-risk commentary, compared with the original August 25 SemiAnalysis lab report.

Reference path

Same $6 bn/$9 bn/$11.5 bn/$13 bn Jalapeno reference, not a second opportunity.

Conditional outcome

Slow Jalapeno $3 bn/$7 bn/$9.5 bn/$11 bn in CY2027/28/29/30. Remove reference product GP at its same margin; save 0.5% of lost revenue in support expense. Existing fixed engineering and SG&A remain. No second haircut to company target or Base.

Probability rationale

Upper 40/reference 35/slow 25. Transfer 5 percentage points from the upper branch to the existing slow branch for new engineering/yield counter-evidence. The 25% A0/B0 efficiency gain does not measure production yield or establish a delay. Source interpretations conflict and reposts are one chain. Only a modest probability change is justified; no second revenue haircut.

Overlap control

One mutually exclusive Jalapeno event. No additional capex haircut, broad AI demand bonus or independent customer-program multiplier. Other company risks appear in sensitivities and scoring, not an untraceable ceiling adjustment.

Revision trigger

Slippage in deployment schedule or lower accepted racks/customer-owned components raises this branch; shipping/acceptance evidence reduces it.

Probability-weighted quarterly effect

Quarter	Incremental revenue	Incremental GP	Incremental OP
Q3 2026	0.000	0.000	0.000
Q4 2026	0.000	0.000	0.000
Q1 2027	-60.000	-7.200	-6.900
Q2 2027	-150.000	-18.000	-17.250
Q3 2027	-240.000	-28.800	-27.600
Q4 2027	-300.000	-36.000	-34.500
Q1 2028	-100.000	-12.000	-11.500
Q2 2028	-115.000	-13.800	-13.225
Q3 2028	-135.000	-16.200	-15.525
Q4 2028	-150.000	-18.000	-17.250
Q1 2029	-100.000	-11.800	-11.300
Q2 2029	-115.000	-13.570	-12.995
Q3 2029	-135.000	-15.930	-15.255
Q4 2029	-150.000	-17.700	-16.950
Q1 2030	-100.000	-11.500	-11.000
Q2 2030	-115.000	-13.225	-12.650
Q3 2030	-135.000	-15.525	-14.850
Q4 2030	-150.000	-17.250	-16.500

Active-ceiling sensitivities

Active ceiling sensitivity

USD per share | Q4 2027 forward window



Source: the frozen model, holding other inputs unchanged for each sensitivity.

Scenario	Active ceiling (USD/share)	Change from active case
Active probability-weighted case	660	0
JALA_UP probability 0%	621	-40
JALA_SLOW probability 0%	672	11
All incremental probabilities 0%	632	-28
All product gross margins -3 pp	453	-207
Diluted shares +10%	600	-60

Planning cash bridge: first ten quarters

Planning only, not a cash-flow forecast supplied by management: opening Q3 bridge starts with June cash $535.7 m plus calculated August offering net proceeds $3,391.275 m; not measured August cash. Operating NWC = receivables + inventory - payables - customer deposits, June $2,438.8 m. Reference NWC rises to 14% of annualized quarterly sales in H2 2026 and 15% thereafter; consigned chips are already excluded from sales. $1 bn 2026 capex includes $493.3 m H1; 2027 capex $2 bn (above management placeholder $1.5 bn for the larger weighted ramp) and subsequent paths are analyst capacity funding allowances. D&A, cash tax, interest and no dividend/buybacks are planning assumptions. No further raise or credit draw is assumed; $1.74 bn undrawn revolver is a contingency, not included cash. SBC is expensed and not added back, making this a conservative funding proxy; it omits other working-capital/cash items and routine term-loan principal amortization of $4.375 m per quarter. A separate stress subtracts that amortization: even the upper-ramp branch retains about $51.8 m minimum cash, before any revolver use; this is a thin cushion, not a guarantee.

Quarter	Opening cash	OP	D&A	Interest	Cash tax	NWC change	CFO
Q3 2026	3,926.97	413.39	50.00	20.00	78.68	585.20	-220.48
Q4 2026	3,456.49	523.04	50.00	20.00	100.61	534.46	-82.03
Q1 2027	3,117.76	514.23	85.00	20.00	98.85	198.51	281.87
Q2 2027	2,899.63	721.43	85.00	20.00	140.29	1,048.90	-402.76
Q3 2027	1,996.87	963.38	85.00	20.00	188.68	1,218.77	-379.07
Q4 2027	1,117.80	1,136.26	85.00	20.00	223.25	869.14	108.87
Q1 2028	726.67	857.82	130.00	20.00	167.56	-1,175.07	1,975.33
Q2 2028	2,102.00	1,033.30	130.00	20.00	202.66	857.81	82.83
Q3 2028	1,584.83	1,267.26	130.00	20.00	249.45	1,143.74	-15.93
Q4 2028	968.90	1,442.73	130.00	20.00	284.55	857.81	410.38

Quarter	CFO	Capex	Dividend	Ending cash	Required operating NWC
Q3 2026	-220.48	250.00	0.00	3,456.49	3,024.00
Q4 2026	-82.03	256.70	0.00	3,117.76	3,558.46
Q1 2027	281.87	500.00	0.00	2,899.63	3,756.98
Q2 2027	-402.76	500.00	0.00	1,996.87	4,805.87
Q3 2027	-379.07	500.00	0.00	1,117.80	6,024.65
Q4 2027	108.87	500.00	0.00	726.67	6,893.78
Q1 2028	1,975.33	600.00	0.00	2,102.00	5,718.71
Q2 2028	82.83	600.00	0.00	1,584.83	6,576.52
Q3 2028	-15.93	600.00	0.00	968.90	7,720.26
Q4 2028	410.38	600.00	0.00	779.28	8,578.07

Planning identities: CFO = OP + D&A - interest - cash tax - change in operating NWC. Ending cash = opening cash + CFO - capex - dividend. Financing and other items are included only when explicitly described in the supplied model. Units: USD millions.

Framework score: complete summing table

Dimension	Awarded	Maximum	Scoring rationale
Core Thesis	15	20	Qualified design-to-rack partner with multigeneration switching relationships and engineering integration; alternatives exist, so this is not a physics monopoly.
Cycle Stage	9	10	1.6 T begins production in H2 2026; custom compute/rack deployments expand in 2027. Revenue already scales.
TAM Expansion	8	10	AI networking and custom compute now; industrial/defense/edge optionality at 50%/20% conceptual phase weights. No invented revenue from those later phases.
Catalysts	5	5	October 27 investor day, Q3 results and 2027 rack acceptance/1.6 T ramp are dated and observable.
Macro	9	10	AI data movement and custom silicon drive system complexity and outsourcing; efficiency can also reduce required equipment.
Alpha	3	5	Consignment versus owned-component revenue and scale-up content are useful insights, but major hyperscaler exposure is widely followed.
Risks	-4	0	Four classes: competition; manufacturing/program execution; customer/concentrated capex demand; working-capital/capital-intensity and dilution. No additional governance deduction without evidence.
Total points	45	60	Base = round(total points / 60 x 100)
Base score	75	100	Risk deductions are included in the total.

Source register

Q2_10 Q | Q2 2026 Form 10-Q

Date: 2026-07-27 | Status: Primary; unaudited financials

https://celestica.gcs-web.com/node/17621/html

Q2_RELEASE | Q2 release and forward outlook

Date: 2026-07-27 | Status: Primary actuals and guidance; July EPS assumptions precede August issuance

https://celestica.gcs-web.com/news-releases/news-release-details/celestica-announces-second-quarter-2026-financial-results/

Q1_10 Q | Q1 Form 10-Q

Date: 2026-04-27 | Status: Primary

https://celestica.gcs-web.com/node/17401/html

FY25 | 2025 Form 10-K

Date: 2026-02-27 | Status: Primary

https://celestica.gcs-web.com/node/17171/html

OFFER | Completed offering 8-K

Date: 2026-08-07 | Status: Primary; full option exercised

https://www.sec.gov/Archives/edgar/data/1030894/000110465926092676/tm2621135d2_8k.htm

PROSPECTUS | Final prospectus and share count

Date: 2026-08-05 | Pages: S-9/S-10 and underwriting | Status: Primary

https://www.sec.gov/Archives/edgar/data/1030894/000110465926091994/tm2621135d3_424b5.htm

FWP | Powering the AI data center buildout

Date: 2026-08-05 | Status: Issuer presentation; TAM includes third-party forecasts

https://celestica.gcs-web.com/node/17661/html

OPENAI | OpenAI/Broadcom intelligence processor

Date: 2026-06-24 | Status: Primary program role; not Celestica revenue guarantee

https://investors.broadcom.com/news-releases/news-release-details/openai-and-broadcom-unveil-llm-optimized-intelligence-processor

USER_JALA | User-supplied Jalapeno analyst excerpt

Date: Received 2026-10-03 | Status: Original author/date unavailable; arithmetic corrected; conditional estimate only | Limit: Image preserved beside analysis; no invented link or revenue guarantee

CAPEX | Alphabet official Q2 2026 call - customer capex

Date: 2026-07-22 | Status: Primary original HTML downloaded and read: 2026 capex $195-205 bn. Future model capex paths and exposure coefficients are analyst assumptions.

https://abc.xyz/investor/events/event-details/2026/2026-Q2-Earnings-Call-2026-GgTAq7Is0z/default.aspx

F1 | Q2 2026 earnings release

Date: 2026-07-27

https://www.sec.gov/Archives/edgar/data/1030894/000103089426000043/cls-20260630prcondensedfs.htm

F2 | Q2 2026 Form 10-Q

Date: 2026-07-27

https://www.sec.gov/Archives/edgar/data/1030894/000103089426000044/cls-20260630.htm

F3 | Q1 2026 Form 10-Q

Date: 2026-04-27

https://www.sec.gov/Archives/edgar/data/1030894/000103089426000032/cls-20260331.htm

F4 | FY2025 Form 10-K

Date: 2026-02-27

https://www.sec.gov/Archives/edgar/data/1030894/000103089426000011/cls-20251231.htm

F5 | Q4/FY2025 issuer release

Date: 2026-01-28

https://celestica.gcs-web.com/static-files/3f82636d-2990-46aa-af30-3b7ddbc66b60

F6 | Q3 2025 issuer release

Date: 2025-10-27

https://celestica.gcs-web.com/static-files/f26d48cf-b72f-4d87-8b57-3508bc35da1b

F9 | Sep 11 CFO succession 8-K

Date: 2026-09-11

https://www.sec.gov/Archives/edgar/data/1030894/000110465926107079/tm2625204d1_8k.htm

F10 | Q1 2026 issuer release

Date: 2026-04-27

https://celestica.gcs-web.com/static-files/7e777cad-64eb-4ae4-90c7-c715a29d100d

T1 | Q2 call management remarks, third-party transcript mirror

Date: 2026-07-28 | Status: Management words, not analyst opinions; issuer events page confirms call identity/date; not verbatim-audio audited

https://stockanalysis.com/quote/tsx/CLS/transcripts/656015-q2-2026/

T2 | Q1 call management remarks, third-party transcript mirror

Date: 2026-04-28 | Status: Management words, not analyst opinions; issuer events page confirms call identity/date; not verbatim-audio audited

https://stockanalysis.com/quote/tsx/CLS/transcripts/548398-q1-2026/

P1 | Q2 2026 issuer earnings slides

Date: 2026-07-28

https://celestica.gcs-web.com/static-files/354f6351-f529-4ce9-be8c-8c37f479f4fa

P2 | Q1 2026 issuer earnings slides

Date: 2026-04-28

https://celestica.gcs-web.com/static-files/55d7e661-e917-442f-a467-fc96ec059740

T0 | Issuer events and original audio index

https://celestica.gcs-web.com/events-and-presentations

F11 | Q3 2025 Form 10-Q

Date: 2025-10-27

https://www.sec.gov/Archives/edgar/data/1030894/000103089425000053/cls-20250930.htm

BUS_2 | Source

Date: 2026-01-29 | Status: management statement; secondary transcription

https://www.roic.ai/quote/CLS%3AUN/transcripts/2025-year/4-quarter

BUS_4 | Source

Date: 2026-02-27 | Status: issuer filing; PDF page numbers below are 1-based including cover

https://corporate.celestica.com/static-files/cc0291ba-3471-4423-9354-7660cd0ba43d

BUS_6 | Source

Date: 2026-05-18 | Status: customer ecosystem announcement; no CLS allocation

https://www.blackstone.com/news/press/blackstone-announces-joint-venture-with-google-to-create-new-tpu-cloud/

BUS_7 | Source

Date: 2026-08-05 | Status: issuer presentation; original slide images obtained from filing CDN; image 09 cites Dell'Oro/650 Group approximate estimates

https://cdn.kscope.io/ffe931d7e296f3b5b3b519f84ceca37d-tm2621135d4_fwpimg009.jpg

BUS_8 | Source

Date: 2026-01-29 | Status: issuer presentation; capacity plans reaffirmed/updated in latest calls

https://corporate.celestica.com/static-files/51ead546-8da8-4adc-aa63-f9ab6c165495

BUS_9 | Source

Date: 2026-09-09 | Status: management forecast; transcription mirror

https://stockanalysis.com/stocks/avgo/transcripts/685349-q3-2026/

PROD_S01 | Celestica 1.6 TbE family introduction

Date: 2025-10-10 | Status: primary issuer release verified via web; direct download timed out

https://www.globenewswire.com/news-release/2025/10/10/3164828/0/en/Celestica-Introduces-New-Family-of-1-6TbE-Data-Center-Switches-to-Power-AI-ML-Clusters.html

PROD_S02 | Celestica DS6000 series available to order

Date: 2026-04-29 | Status: primary issuer page verified via web; direct download timed out

https://corporate.celestica.com/news-releases/news-release-details/celestica-accelerates-ai-scale-networking-ds6000-series-16tbe

PROD_S03 | Designing, Powering, and Optimizing AI Infrastructure at Scale

Date: 2026-09-18 | Status: primary issuer blog downloaded

https://www.celestica.com/blog/article/designing-powering-and-optimizing-ai-infrastructure-at-scale

PROD_S04 | Celestica and AMD Helios collaboration

Date: 2026-03-16 | Status: primary issuer verified via web; AMD identical release downloaded

https://corporate.celestica.com/news-releases/news-release-details/celestica-and-amd-announce-collaboration-advance-next-era-ai

PROD_S05 | Celestica and AMD DS6010 Helios blog

Date: 2026-07-23 | Status: primary issuer downloaded

https://www.celestica.com/blog/article/accelerating-the-next-era-of-ai-celestica-and-amd-collaborate-on-the-amd-helios-rackscale-solution

PROD_S06 | AMD Advancing AI 2026 launch

Date: 2026-07-23 | Status: primary customer/platform issuer downloaded

https://ir.amd.com/news-events/press-releases/detail/1294/aai-2026-amd-delivers-full-stack-compute-for-the-agentic-ai-era

PROD_S08 | DS6000 datasheet

Date: 2025-10-07 | Status: issuer-linked original PDF downloaded

https://assets.foleon.com/eu-central-1/de-uploads-7e3kk3/50292/cls_branded_datasheet_ds6000_100725.ad3bceaae27a.pdf

PROD_S10 | DS6010 datasheet

Date: 2026-09-24 | Status: issuer-linked original PDF downloaded

https://assets.foleon.com/eu-central-1/de-uploads-7e3kk3/50292/cls_branded_datasheet_ds6010_092426.2053546a8788.pdf

PROD_S14 | HPE introduces QFX5252 Helios switch tray

Date: 2026-06-16 | Status: primary issuer verified via web; direct download timed out

https://www.hpe.com/us/en/newsroom/press-release/2026/06/hpe-expands-self-driving-networks-across-edge-campus-data-center-and-ai-factories.html

PROD_S15 | HPE Vultr Helios order

Date: 2026-09-30 | Status: primary issuer verified via web; direct download timed out

https://www.hpe.com/us/en/newsroom/press-release/2026/09/hpe-secures-its-first-amd-helios-order-in-12-billion-deal-with-vultr.html